The hike was on script. The projections were not.

Written on Thursday evening, 10 September 2026, using only what was public by then. It covers what the ECB did and said, how that compared with Monday's scenarios and this morning's brief, and what to watch on Friday.

DEPOSIT RATE
2.50%
+25bp, from 16 Sep

2027 HICP PROJECTION
2.5%
June: 2.3%

EUR/USD, ECB RATE 10 SEP
1.1616
pre-reaction, -0.31% vs 9 Sep

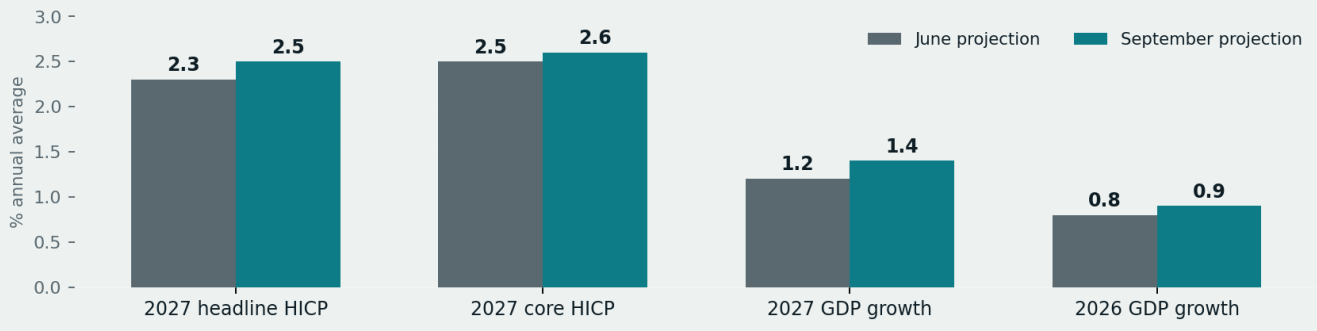
01 What the ECB did and said

The ECB raised all three key rates by 25 basis points. The deposit rate is now 2.50%, the main refinancing rate 2.65% and the marginal lending rate 2.90%, effective 16 September. The guidance sentence did not change: the Council stays data dependent, decides meeting by meeting and is "not pre-committing to a particular rate path".

At the press conference in Berlin, Lagarde called the decision "a unanimous decision" and "a no-brainer". She said, "We have not actually debated at all any kind of future path," and called the neutral rate "highly conceptual", adding that the ECB is "not attaching great importance" to it in the current circumstances. A journalist's question said markets priced almost three hikes in total after the move, a premise of the question rather than an ECB statement.

02 The projections

The news was in the projections. Headline inflation for 2027 went to 2.5% from 2.3%, and growth for 2027 to 1.4% from 1.2%. The ECB puts the growth upgrade down to the economy's resilience, and sees headline inflation back near target towards the end of 2027. The 2026 inflation projection stayed at 3.0%.



Source: ECB staff projections, 11 Jun 2026 and 10 Sep 2026

03 Against Monday's scenarios

SIGNAL	THURSDAY	MONDAY: STRONGER EURO (A)	MONDAY: IN BETWEEN (C)	READS AS
Rate move	+25bp	More than 25bp	25bp	C
Guidance wording	Unchanged	Points to another hike	June sentence unchanged	C
2027 headline HICP	2.5%	2.5% or higher	2.2% to 2.4%	**A**
2027 core HICP	2.6%	2.7% or higher	2.4% to 2.6%	C
GDP 2026 or 2027	2027: +0.2	Either raised 0.2 or more	Both within 0.1	**A**

The rate and the wording landed in the middle column, the base case. The projections did not. Two rows, 2027 headline inflation and 2027 growth, sit in the stronger-euro column (2026 growth rose only 0.1), and Monday's rule says two projection rows in the same outer column call the scenario. By those thresholds the day reads as A: a hawkish tilt inside an expected hike. Market pricing was in none of Monday's scenarios.

04 Against this morning's brief

This morning's brief named the channel. It called a 25bp hike the base case, noted that Monday's revision of Q2 euro area GDP to +0.6% q/q (flash +0.4%) weakened the case for a hold, and pointed to higher energy prices pushing the 2027 headline projection up. Brent spot was $109.51 on 9 September, 22% above its 28 August level.

05 How the euro and yields reacted, so far

There is no clean read on the euro yet. The ECB reference rate is set around 14:15 CET, the time of the decision, so Thursday's fixing of 1.1616 is a level from before the reaction. It was 0.31% below Wednesday's 1.1652, so the euro was already drifting lower into the decision. The first fixing that includes the reaction is Friday's.

A US driver landed in the same window. US producer prices for August came out at 14:30 CET, 15 minutes after the decision: final demand rose 0.4% m/m and 5.4% y/y, with July revised to +0.1% (first reported as 0.0%). Excluding foods, energy and trade services, prices rose 0.3% m/m, below July's 0.4%, and 4.7% y/y. The headline is above July, which Monday's week-ahead read as cost pressure still building, while the core measure eased. So whatever Friday's fixing shows cannot be put on the ECB alone. US yields rose on the day: the 10-year par yield closed at 4.95%, up from 4.83% on Wednesday, and the 2-year at 4.56%, from 4.43%.

> LIMIT: ECB pricing rests on a 2 September Bundesbank statement (more than 95% priced), not a market data series. The reference rate is one fixing a day, so it cannot show how the euro moved in the minutes after 14:15, or how much of any move came from the ECB rather than from US PPI fifteen minutes later.

06 One thing to watch on Friday

US consumer prices for August come out at 08:30 ET, 14:30 CET. July rose 0.1% m/m and 3.4% y/y, with core up 0.2% m/m and 2.5% y/y. Monday's marks still apply: core above 0.2% m/m or headline above 3.4% y/y would read as firmer, and at or below both as cooling. A quiet euro tonight can still move on Friday for reasons that have nothing to do with the ECB. For context, leveraged funds were net short 38,173 euro futures on 1 September, 4.4% of open interest, a mild short (CFTC report of 4 September).

> THREAD: Did positioning change after the hike? Next: the Saturday positioning report.

SOURCES (ACCESSED 19 TO 21 OCT 2026; NOTHING PUBLISHED AFTER 10 SEP 2026 USED)

1. ECB, monetary policy decisions, 10 Sep 2026 (rates, guidance, projections). https://www.ecb.europa.eu/press/pr/date/2026/html/ecb.mp260910~314e508016.en.html
2. ECB, press conference, Berlin, 10 Sep 2026 (statement and Q&A). https://www.ecb.europa.eu/press/press_conference/monetary-policy-statement/2026/html/ecb.is260910~6a45359cfc.en.html
3. ECB, monetary policy decisions, 11 Jun 2026 (June projections, guidance). https://www.ecb.europa.eu/press/pr/date/2026/html/ecb.mp260611~4d41bd5e83.en.html
4. ECB, press release of 27 Jun 2022 (decisions published at 14:15 CET). https://www.ecb.europa.eu/press/pr/date/2022/html/ecb.pr220627~73acedf868.en.html
5. ECB, euro reference rates, US dollar (9 Sep 1.1652; 10 Sep 1.1616). https://www.ecb.europa.eu/stats/policy_and_exchange_rates/euro_reference_exchange_rates/html/eurofxref-graph-usd.en.html
6. Eurostat, GDP and employment, Q2 2026, 7 Sep 2026 (+0.6% q/q). https://ec.europa.eu/eurostat/web/products-euro-indicators/w/2-07092026-ap
7. FRED, St. Louis Fed, Brent spot (DCOILBRENTEU), to 9 Sep 2026. https://fred.stlouisfed.org/series/DCOILBRENTEU
8. US Treasury, daily par yield curve rates, 2026 (2-year and 10-year, 9 and 10 Sep 2026). https://home.treasury.gov/resource-center/data-chart-center/interest-rates/TextView?type=daily_treasury_yield_curve&field_tdr_date_value=2026
9. BLS, Producer Price Indexes, August 2026, released 10 Sep 2026, 08:30 ET. https://www.bls.gov/news.release/archives/ppi_09102026.htm
10. BLS, release calendar, September 2026 (CPI Fri 11 Sep, 08:30 ET). https://www.bls.gov/schedule/2026/09_sched.htm
11. BLS, Consumer Price Index, July 2026, released 12 Aug 2026. https://www.bls.gov/news.release/archives/cpi_08122026.htm
12. CFTC, Traders in Financial Futures, Futures Only, Euro FX (099741), positions as of 1 Sep 2026, released 4 Sep. https://publicreporting.cftc.gov/Commitments-of-Traders/Traders-in-Financial-Futures-Futures-Only/gpe5-46if
13. Earlier documents in this series: week-ahead scenarios (Mon 7 Sep), morning brief (Thu 10 Sep) and headlines (Thu 10 Sep).
14. Deutsche Bundesbank, interview with Joachim Nagel in Le Monde, 2 Sep 2026 (market pricing of a September hike). https://www.bundesbank.de/en/press/interviews/-rising-interest-rates-in-the-financial-markets-are-complicating-the-ecb-s-situation--1007256

Independent portfolio project built from public data. Not investment advice.